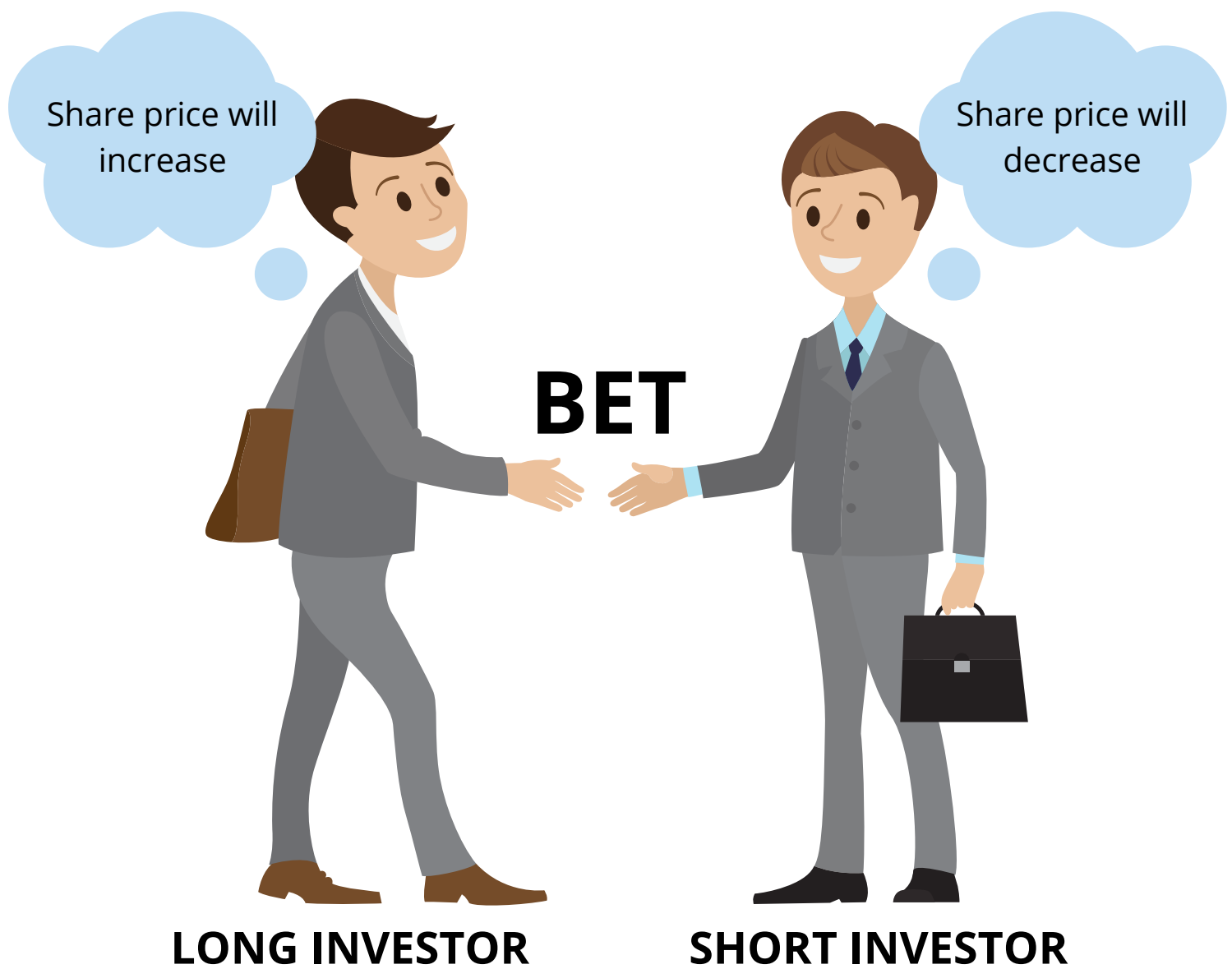


HOW IT WORKS

Coming to derivative contracts, let us say there is a stock that is worth Rs. 1,000 currently as per market. We think the stock will go up and our friend thinks it will go down from here. One way is to buy the stock and try to benefit from the same. Or, both of us enter an agreement according to which if the stock goes up, they will pay us and if it goes below Rs. 1000, we will pay for them. It is like a 'bet' that we both are making. We decide on a cut-off date when the result will be decided. This kind of contract allows us to take a position and benefit from a price increase without actually buying the asset. Now, the nitty-gritty of this contract can be changed and different kinds of derivative contracts can be made.

In every contract, there are two parties i.e. one that thinks that the price of the underlying asset will go up and the other that thinks that the price of the asset will go down in the future. The former is the long investor and the latter is the short investor.



Contract valid only for a particular period